# Chapter 9. Two-Stage Cluster Sampling

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## 1 Introduction

**Definition 9.1**

A **two-stage cluster sample** is obtained by selecting a probability sample of clusters and then a probability sample of elements from each selected cluster. The clusters are the **primary sampling units** (psu, e.g. classes) and the elements the **secondary sampling units** (ssu, e.g. students).

Measuring every element in a cluster is wasteful when the elements of a cluster are similar; subsampling lets us spread the same budget over more clusters.

**Notation.** Both stages use SRS without replacement.

| | |
|---|---|
| $N$, $n$ | number of clusters in the population / selected |
| $M_i$, $m_i$ | number of elements in cluster $i$ / selected from it |
| $M = \sum_{i=1}^{N} M_i$, $\bar{M} = M/N$ | population size and average cluster size |
| $y_{ij}$ | value of the $j$th sampled element of cluster $i$ |
| $\bar{y}_i = \frac{1}{m_i}\sum_{j=1}^{m_i} y_{ij}$ | sample mean of cluster $i$ |
| $\mu_i$, $\tau_i = M_i\mu_i$ | true mean and total of cluster $i$; $\tau = \sum_{i=1}^{N}\tau_i$ |
| $\hat{\tau}_i = M_i\bar{y}_i$ | estimated total of cluster $i$ |
| $S_i^2 = \frac{1}{M_i-1}\sum_{j=1}^{M_i}(y_{ij}-\mu_i)^2$ | within-cluster variance |
| $S_b^2 = \frac{1}{N-1}\sum_{i=1}^{N}(\tau_i-\bar{\tau})^2$, $\bar{\tau} = \tau/N$ | between-cluster variance of totals |

## 2 Estimation of the Total and the Mean

**Motivation.** When clusters are large, it is cheaper to subsample units within each selected cluster than to enumerate them. Two-stage sampling has two sources of error, between clusters and within clusters, and the variance formula reflects both.

**Theorem 9.2: Unbiased estimators**

$$\hat{\tau} = \frac{N}{n}\sum_{i=1}^{n} M_i \bar{y}_i = \frac{N}{n}\sum_{i=1}^{n} M_i \frac{1}{m_i}\sum_{j=1}^{m_i} y_{ij}, \qquad \bar{y} = \frac{\hat{\tau}}{M}$$

are unbiased for $\tau$ and $\mu$ respectively.

**Proof.** Let $\mathrm{E}_2$ denote expectation over the second stage for a fixed set of clusters, and $\mathrm{E}_1$ over the first stage. For a fixed selected cluster, $\mathrm{E}_2(\bar{y}_i) = \mu_i$ (SRS), so $\mathrm{E}_2(\hat{\tau}_i) = M_i\mu_i = \tau_i$ and

$$\mathrm{E}_2(\hat{\tau}) = \frac{N}{n}\sum_{i=1}^{n} \tau_i.$$

This is $N$ times an SRS mean of the cluster totals, so $\mathrm{E}_1\mathrm{E}_2(\hat{\tau}) = N \cdot \frac{\tau}{N} = \tau$. Then $\mathrm{E}(\bar{y}) = \tau/M = \mu$. ■

**Theorem 9.3: Variance**

With $u_i = M_i^2 \frac{M_i - m_i}{M_i} \frac{S_i^2}{m_i}$ (the second-stage variance of $\hat{\tau}_i$),

$$\mathrm{Var}(\hat{\tau}) = N^2 \frac{N-n}{N}\frac{S_b^2}{n} + \frac{N}{n}\sum_{i=1}^{N} u_i = \underbrace{N^2 \frac{N-n}{N}\frac{S_b^2}{n}}_{\text{between psu}} + \underbrace{\frac{N}{n}\sum_{i=1}^{N} M_i^2 \frac{M_i - m_i}{M_i}\frac{S_i^2}{m_i}}_{\text{within psu}}.$$

## 2.1 Variance of a two-stage estimator

**Theorem 9.4: Conditional variance decomposition**

For any estimator $\hat{\theta}$ computed from a two-stage sample,

$$\mathrm{Var}(\hat{\theta}) = \mathrm{Var}_1\big(\mathrm{E}_2(\hat{\theta})\big) + \mathrm{E}_1\big(\mathrm{Var}_2(\hat{\theta})\big).$$

For three stages, $\mathrm{Var}(\hat{\theta}) = \mathrm{Var}_1\big(\mathrm{E}_2\mathrm{E}_3\hat{\theta}\big) + \mathrm{E}_1\big(\mathrm{Var}_2(\mathrm{E}_3\hat{\theta})\big) + \mathrm{E}_1\mathrm{E}_2\big(\mathrm{Var}_3\hat{\theta}\big)$.

**Proof.** Let $\theta = \mathrm{E}(\hat{\theta})$. Conditionally on the first stage,

$$\mathrm{E}_2(\hat{\theta} - \theta)^2 = \mathrm{Var}_2(\hat{\theta}) + \big(\mathrm{E}_2\hat{\theta}\big)^2 - 2\theta\,\mathrm{E}_2\hat{\theta} + \theta^2.$$

Taking $\mathrm{E}_1$ and using $\mathrm{E}_1\mathrm{E}_2\hat{\theta} = \theta$,

$$\mathrm{Var}(\hat{\theta}) = \mathrm{E}_1\mathrm{Var}_2(\hat{\theta}) + \mathrm{E}_1\big(\mathrm{E}_2\hat{\theta}\big)^2 - \theta^2 = \mathrm{E}_1\mathrm{Var}_2(\hat{\theta}) + \mathrm{Var}_1\big(\mathrm{E}_2\hat{\theta}\big).$$

■

**Derivation: proof of the variance formula**

**Between term.** $\mathrm{E}_2(\hat{\tau}) = \frac{N}{n}\sum_{i=1}^{n}\tau_i$ is $N$ times the SRS mean of the $N$ cluster totals, so by Ch. 2

$$\mathrm{Var}_1\big(\mathrm{E}_2\hat{\tau}\big) = N^2\frac{N-n}{N}\frac{S_b^2}{n}.$$

**Within term.** Given the clusters, the subsamples are independent, and $\mathrm{Var}_2(\hat\tau_i) = M_i^2 \mathrm{Var}_2(\bar y_i) = M_i^2 \frac{M_i - m_i}{M_i}\frac{S_i^2}{m_i} = u_i$. Thus

$$\mathrm{Var}_2(\hat\tau) = \frac{N^2}{n^2}\sum_{i=1}^{n} u_i, \qquad \mathrm{E}_1\mathrm{Var}_2(\hat\tau) = \frac{N^2}{n^2}\cdot n \cdot \frac{1}{N}\sum_{i=1}^{N} u_i = \frac{N}{n}\sum_{i=1}^{N} u_i,$$

because each cluster is in the first-stage sample with probability $n/N$.
**Direct expansion (alternative).** Writing $\hat\tau - \tau = (\frac{N}{n}\sum_{i\le n}\tau_i - \tau) + \frac{N}{n}\sum_{i\le n}(\hat\tau_i - \tau_i)$ and squaring, the cross term has $\mathrm{E}_2(\hat\tau_i - \tau_i) = 0$, and the products $(\hat\tau_i - \tau_i)(\hat\tau_{i'} - \tau_{i'})$, $i \neq i'$, have zero conditional expectation since $\mathrm{E}_2(\hat\tau_i\hat\tau_{i'}) = \tau_i\tau_{i'}$ by independence of the subsamples. The two remaining squared terms give the between and within components.

## 2.2 Estimated variance

**Theorem 9.5: Unbiased variance estimator**

$$\widehat{\mathrm{Var}}(\hat\tau) = N^2\frac{N-n}{N}\frac{s_b^2}{n} + \frac{N}{n}\sum_{i=1}^{n} M_i^2\frac{M_i - m_i}{M_i}\frac{s_i^2}{m_i},$$

$$s_b^2 = \frac{1}{n-1}\sum_{i=1}^{n}(M_i\bar y_i - \bar M\bar y)^2, \qquad s_i^2 = \frac{1}{m_i - 1}\sum_{j=1}^{m_i}(y_{ij} - \bar y_i)^2,$$

and $\widehat{\mathrm{Var}}(\bar y) = \widehat{\mathrm{Var}}(\hat\tau)/M^2$. Here $s_b^2$ is the sample variance of the $\hat\tau_i = M_i\bar y_i$ (note $\bar M\bar y = \hat\tau/N = \frac{1}{n}\sum\hat\tau_i$).

The key fact is that $s_b^2$ is *not* unbiased for $S_b^2$: the estimated cluster totals also carry second-stage noise.

**Theorem 9.6**

$\mathrm{E}(s_b^2) = S_b^2 + \frac{1}{N}\sum_{i=1}^{N} u_i$, and consequently $\mathrm{E}[\widehat{\mathrm{Var}}(\hat\tau)] = \mathrm{Var}(\hat\tau)$.

**Derivation: proof**

Write $\bar{\hat\tau} = \frac{1}{n}\sum_{i\le n}\hat\tau_i = \hat\tau/N$. Then $(n-1)s_b^2 = \sum_{i\le n}\hat\tau_i^2 - n\bar{\hat\tau}^2$.
**First piece.** $\mathrm{E}_2(\hat\tau_i^2) = \mathrm{Var}_2(\hat\tau_i) + \tau_i^2 = u_i + \tau_i^2$, so $\mathrm{E}[\sum_{i\le n}\hat\tau_i^2] = \frac{n}{N}\sum_{i=1}^{N}(u_i + \tau_i^2)$.
**Second piece.** $\mathrm{E}(\bar{\hat\tau}^2) = \frac{\mathrm{Var}(\hat\tau)}{N^2} + \bar\tau^2 = \frac{N-n}{Nn}S_b^2 + \frac{1}{nN}\sum_{i=1}^{N} u_i + \bar\tau^2$.
Combining and using $\frac{1}{N}\sum_{i=1}^{N}\tau_i^2 - \bar\tau^2 = \frac{N-1}{N}S_b^2$,

$$\begin{aligned}\mathrm{E}[(n-1)s_b^2] &= \frac{n}{N}\sum u_i + n\Big(\frac{1}{N}\sum\tau_i^2 - \bar\tau^2\Big) - \frac{N-n}{N}S_b^2 - \frac{1}{N}\sum u_i \\ &= \frac{n-1}{N}\sum_{i=1}^{N} u_i + \frac{n(N-1)-(N-n)}{N}S_b^2 = (n-1)\Big[S_b^2 + \frac{1}{N}\sum_{i=1}^{N} u_i\Big].\end{aligned}$$

**Unbiasedness of $\widehat{\mathrm{Var}}(\hat\tau)$.** Since $\mathrm{E}_2(s_i^2) = S_i^2$, the second term has expectation $\frac{N}{n}\cdot\frac{n}{N}\sum_{i=1}^{N} u_i = \sum_{i=1}^{N} u_i$. Hence

$$\mathrm{E}\widehat{\mathrm{Var}}(\hat\tau) = N^2\frac{N-n}{Nn}\Big(S_b^2 + \frac{1}{N}\sum u_i\Big) + \sum u_i = N^2\frac{N-n}{Nn}S_b^2 + \Big(\frac{N-n}{n} + 1\Big)\sum u_i = \mathrm{Var}(\hat\tau).$$

Of the within-psu variance $\frac{N}{n}\sum u_i$, the between-psu term of $\widehat{\text{Var}}$ already contributes $\frac{N-n}{n}\sum u_i$, and the explicit within term supplies the remaining $\sum u_i$.

**Remark 9.7: Special cases**

- All elements of each selected psu are measured ($m_i = M_i$): $\widehat{\text{Var}}(\hat{\tau}) = N^2\frac{N-n}{Nn}s_b^2$, which is one-stage cluster sampling (Ch. 8).
- All psu are included ($n = N$): $\widehat{\text{Var}}(\hat{\tau}) = \sum_{i=1}^{N} M_i^2\frac{M_i-m_i}{M_i}\frac{s_i^2}{m_i}$, which is stratified random sampling with the clusters as strata (Ch. 3).

## 3 Estimating the Mean when $M$ is Unknown

**Motivation.** If the total number of units $M$ is unknown, the mean per unit is estimated by a ratio of two estimated totals.

$\bar{y} = \hat{\tau}/M$ requires $M$. Otherwise use the ratio estimator

$$\hat{\mu} = \frac{\sum_{i=1}^{n} M_i\bar{y}_i}{\sum_{i=1}^{n} M_i} = \frac{\sum_{i=1}^{n}\hat{\tau}_i}{\sum_{i=1}^{n} M_i}.$$

**Theorem 9.8**

$$\widehat{\text{Var}}(\hat{\mu}) = \frac{N^2}{M^2}\cdot\frac{N-n}{N}\cdot\frac{s_r^2}{n} + \frac{N}{nM^2}\sum_{i=1}^{n} M_i^2\frac{M_i-m_i}{M_i}\frac{s_i^2}{m_i}, \qquad s_r^2 = \frac{1}{n-1}\sum_{i=1}^{n}(M_i\bar{y}_i - M_i\hat{\mu})^2,$$

where, when $M$ is unknown, $M$ is estimated by $\hat{M} = N\cdot\frac{1}{n}\sum_{i=1}^{n} M_i$ (equivalently $\bar{M}$ by the sample average of the $M_i$).

The only change from $\widehat{\text{Var}}(\bar{y})$ is that the between term uses deviations $M_i\bar{y}_i - M_i\hat{\mu}$ (residuals from a ratio fit) instead of $M_i\bar{y}_i - \bar{M}\bar{y}$.

## 4 Estimation of a Proportion

For the proportion of students in favor of a law, let $y_{ij} = 1$ or $0$ and $\hat{p}_i = \frac{1}{m_i}\sum_j y_{ij}$, the sample proportion in cluster $i$. With $M$ unknown,

$$\hat{p} = \frac{\sum_{i=1}^{n} M_i\hat{p}_i}{\sum_{i=1}^{n} M_i},$$

$$\widehat{\text{Var}}(\hat{p}) = \frac{N^2}{M^2}\frac{N-n}{N}\frac{s_p^2}{n} + \frac{N}{nM^2}\sum_{i=1}^{n} M_i^2\frac{M_i-m_i}{M_i}\frac{\hat{p}_i\hat{q}_i}{m_i-1}, \qquad s_p^2 = \frac{1}{n-1}\sum_{i=1}^{n}(M_i\hat{p}_i - M_i\hat{p})^2,$$

with $\hat{q}_i = 1-\hat{p}_i$. The within term uses the SRS result $\widehat{\text{Var}}(\hat{p}_i) = \frac{\hat{p}_i\hat{q}_i}{m_i-1}\frac{M_i-m_i}{M_i}$.

## 5 Equal-Sized Clusters

Suppose $M_1 = \cdots = M_N = \bar{M}$ and $m_1 = \cdots = m_n = m$. Then

$$\bar{y} = \frac{\hat{\tau}}{M} = \frac{1}{N\bar{M}}\cdot\frac{N}{n}\bar{M}\sum_{i=1}^{n}\bar{y}_i = \frac{1}{n}\sum_{i=1}^{n}\bar{y}_i = \frac{1}{nm}\sum_{i=1}^{n}\sum_{j=1}^{m} y_{ij} = \hat{\mu},$$

the overall sample average. Arrange the data as an $m \times n$ table (columns = psu) with

$$MSB = \frac{m}{n-1}\sum_{i=1}^{n}(\bar{y}_i - \bar{y})^2, \qquad MSW = \frac{1}{n(m-1)}\sum_{i=1}^{n}\sum_{j=1}^{m}(y_{ij} - \bar{y}_i)^2.$$

**Theorem 9.9: Equal-size two-stage variance**

With $f_1 = n/N$ and $f_2 = m/\bar{M}$,

$$\widehat{\mathrm{Var}}(\bar{y}) = (1-f_1)\frac{MSB}{nm} + (1-f_2)\frac{MSW}{Nm}.$$

If $N$ is large, $\widehat{\mathrm{Var}}(\bar{y}) \approx MSB/(nm)$.

**Derivation**

**Between term.** $s_b^2 = \frac{1}{n-1}\sum(\bar{M}\bar{y}_i - \bar{M}\bar{y})^2 = \bar{M}^2\frac{MSB}{m}$, and $N^2/M^2 = 1/\bar{M}^2$, so

$$\frac{N^2}{M^2}\frac{N-n}{N}\frac{s_b^2}{n} = (1-f_1)\frac{1}{n}\frac{MSB}{m}.$$

**Within term.** $\frac{1}{n}\sum_i s_i^2 = MSW$, so

$$\frac{1}{M^2}\frac{N}{n}\sum_{i=1}^{n}\bar{M}^2\frac{\bar{M}-m}{\bar{M}}\frac{s_i^2}{m} = \frac{N\bar{M}^2}{M^2}(1-f_2)\frac{MSW}{m} = \frac{1}{N}(1-f_2)\frac{MSW}{m}.$$

The same computation for $\widehat{\mathrm{Var}}(\hat{\mu})$ gives $s_r^2 = s_b^2$ and $\hat{M} = M$, so $\widehat{\mathrm{Var}}(\hat{\mu}) = \widehat{\mathrm{Var}}(\bar{y})$ here.

**Remark 9.10: Limiting cases**

- $m = \bar{M}$ ($f_2 = 1$): the within term vanishes and $\widehat{\mathrm{Var}}(\bar{y}) = (1-f_1)\frac{MSB}{nm}$, one-stage cluster sampling.
- $n = N$ ($f_1 = 1$): $\widehat{\mathrm{Var}}(\bar{y}) = (1-f_2)\frac{MSW}{Nm}$, the variance estimate of a stratified random sample with $N$ strata and $m$ observations per stratum.

## 6 Probabilities Proportional to Size

PPS sampling is useful when cluster sizes vary greatly; it is typically used only at the first stage. Selecting psu with replacement with probabilities $z_i = M_i/M$ and estimating each cluster total by $\hat{\tau}_i = M_i\bar{y}_i$,

$$\hat{\tau}_{\mathrm{pps}} = \frac{1}{n}\sum_{i=1}^{n}\frac{\hat{\tau}_i}{z_i} = \frac{M}{n}\sum_{i=1}^{n}\bar{y}_i, \qquad \hat{\mu}_{\mathrm{pps}} = \frac{\hat{\tau}_{\mathrm{pps}}}{M} = \frac{1}{n}\sum_{i=1}^{n}\bar{y}_i,$$

compared with the equal-probability choice $z_i = 1/N$, which gives $\hat{\tau} = \frac{N}{n}\sum M_i\bar{y}_i$. The variance estimators are

$$\widehat{\mathrm{Var}}(\hat{\tau}_{\mathrm{pps}}) = \frac{M^2}{n(n-1)}\sum_{i=1}^{n}(\bar{y}_i - \hat{\mu}_{\mathrm{pps}})^2, \qquad \widehat{\mathrm{Var}}(\hat{\mu}_{\mathrm{pps}}) = \frac{1}{n(n-1)}\sum_{i=1}^{n}(\bar{y}_i - \hat{\mu}_{\mathrm{pps}})^2,$$

and they already include the second-stage variability, since each $\bar{y}_i$ is an independent draw of a cluster *and* a subsample. With $m_i = m$ we get $\hat{\mu}_{\mathrm{pps}} = \bar{y}$ and $\widehat{\mathrm{Var}}(\hat{\mu}_{\mathrm{pps}}) = \frac{1}{n(n-1)}\sum(\bar{y}_i - \bar{y})^2 = \frac{MSB}{nm}$, the large-$N$ approximation of the previous section.